

FULCRUM THERAPEUTICS INC FULC

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by [mack885](#)

			2026	2027
Price:	3.65	EPS	0	0
Shares Out. (in M):	67	P/E	0	0
Market Cap (in \$M):	243	P/FCF	0	0
Net Debt (in \$M):	-333	EBIT	0	0
TEV (in \$M):	-90	TEV/EBIT	0	0

Description

FULC / Fulcrum Therapeutics

Price	\$3.65	
Diluted shares	<u>66.6</u>	
Market cap	\$243.2	
Cash and investments Q1 26	\$333.3	\$5.00
Burn Q2 26	(\$20.0)	(\$0.30)
RIF terminations, mgmt severance (incurred in 2Q)	(\$4.2)	(\$0.06)
Total Liabilities Q1 26 (payables, lease liabilities, accrued interest)	<u>(\$13.5)</u>	<u>(\$0.20)</u>
Net cash	\$295.6	\$4.44
Total Enterprise Value	(\$52.4)	

Investment Thesis

FULC is a straightforward opportunity to own a biotech shell trading at a material discount to cash that will likely execute a reverse merger with a private biotech in the near term in a shareholder-friendly way. Fulcrum Therapeutics discontinued its last remaining therapeutic program, pociredir, due to safety concerns ([Fiercebitech on discontinuation](#)) and has engaged Leerink Partners whom we regard as the premier healthcare-focused investment bank, to run a formal strategic alternatives process. At Q1 2026, FULC held \$333.3 million in cash and marketable securities (\$5.00 per share), against \$13.5 million in total liabilities. Assuming all liabilities are settled in cash, a \$20 million Q2 burn, and \$4.2 million in announced reduction in forced-related cash costs, net cash is approximately \$295 million (\$4.44 per share), a significant premium to the current market price of \$3.65.

Timeline of Key Events

- June 1, 2026: Fulcrum announced the discontinuation of pociredir and initiated a strategic alternatives review: "Fulcrum will explore potential strategic alternatives, including, but not limited to, a merger, acquisition, business combination, or other strategic transactions involving the company or its assets. In connection with this review, Fulcrum has initiated efforts to significantly reduce its operating expenses and preserve capital."
- June 4, 2026: Fulcrum announced the engagement of Leerink Partners as its financial advisor and an 85% reduction in force, with headcount declining to 9 employees by month end. Leerink most recently served as financial advisor to Avenzo Therapeutics in its May 2026 merger with Rallybio (RLYB), a \$215 million PIPE-backed transaction. Their mandate here strongly signals Fulcrum is serious about finding a quality counterparty quickly.
- June 11, 2026: Fulcrum announced an additional change-of-control bonus plan for the remaining 9 employees, incentivizing a prompt and orderly transaction process.

Balance Sheet

A crucial and underappreciated step in analyzing shell company investments is understanding which liabilities are truly "sticky" and must be absorbed by the successor entity, versus which can be negotiated away or discharged prior to closing. The distinction materially affects the net cash available to shareholders and can change the deal math significantly, as the BOLD example below demonstrates. FULC's Q1 2026 balance sheet breaks down as follows:

Balance Sheet Item	Amount (Q1 2026)
Cash & cash equivalents	\$50.3M
Short-term investments (marketable securities)	\$283.1M
Total cash & investments	\$333.3M
Accounts payable	\$2.5M

Balance Sheet Item	Amount (Q1 2026)
Accrued expenses	\$4.9M
Current portion of lease obligations	\$2.5M
Long-term lease obligations	\$3.4M
Other long-term liabilities	\$0.2M
Total liabilities	\$13.5M
Implied net cash per share (pre-Q2 burn)	~\$5.00

What makes FULC particularly attractive relative to prior shells is the modest size of its lease liability at only \$5.9 million. Expensive long-term leases signed in the bullish 2019 timeframe in pricey biotech hub cities like Boston, San Francisco, New York and San Diego has plagued numerous biotechs after their programs fail or capital simply became scarce. This is a critical distinction versus BOLD, where a \$45 million long-term San Diego headquarters lease was the single largest liability and created substantial uncertainty. BOLD ultimately negotiated a lease termination for \$10.5 million before closing, but the exercise required meaningful time and capital. For FULC, the lease burden is negligible, meaning the overwhelming majority of the \$333M balance sheet value is genuinely accessible and the liability-shedding exercise is largely a non-issue.

The accounts payable (\$2.5M) and accrued expenses (\$4.9M) are also de minimis. The remaining post-RIF operating burn for 9 employees is estimated at \$1-2M per quarter. In short, FULC's effective liability load is among the cleanest of any recent shell transaction.

The Biotech Reverse Merger Renaissance: Comparable Transactions

The IPO window for emerging biotechs has been largely shuttered since 2021, forcing high-quality private companies to seek alternative paths to public capital markets. The reverse merger into a cash-rich shell accompanied by a concurrent PIPE from institutional investors has become the dominant mechanism. Below we detail the most comparable recent transactions, with attention to balance sheet dynamics, investment bank involvement, and outcomes for existing shareholders.

BOLD / Boundless Bio → Serapha Bio | Announced June 23, 2026

Transaction Detail	BOLD / Serapha
BOLD Financial Advisor	Lucid Capital Markets
Serapha Financial Advisor	Wedbush Securities
PIPE Size	\$230 million
Pipe Participants	Co-led by RA Capital Management and RTW Investments and includes participation by Janus Henderson Investors, Decheng Capital, Vivo Capital, Casdin Capital, LifeSci Venture Partners, Logos Capital, Balyasny Asset Management, and Eventide Asset Management,
BOLD Shareholder Retention	~3.69% of pro forma company
Cash Dividend to BOLD Shareholders	~\$44–48 million (~\$1.96–2.14/share)
BOLD Pre-Announcement Price	~\$1.40/share
New Ticker	AATD (Nasdaq)

BOLD Balance Sheet at Time of Deal:

Line Item	Amount
Cash & cash equivalents	\$17.5M
Short-term investments	\$75.4M
Total cash	\$92.8M
Accounts payable & accrued liabilities	\$5.7M
Accrued compensation	\$0.6M
Current portion of lease obligations	\$3.3M

Line Item	Amount
Long-term lease obligations (San Diego HQ)	\$45.0M
Total liabilities	\$54.6M

The BOLD transaction is the most instructive precedent for understanding how facility lease liabilities can impact shell math. BOLD's San Diego headquarters lease carried a \$48 million liability obligation, representing nearly half of their cash. BOLD negotiated a termination of this lease for \$10.5 million 4/13/26 clearing the path for a reverse merger with a \$44–48 million cash dividend to shareholders. Existing shareholders retained 3.69% of the pro forma combined company, Serapha Bio, a gene editing company targeting alpha-1 antitrypsin deficiency.

FULC carries only \$5.9M in total lease obligations, a rounding error for FULC, making the net cash math cleaner. FULC is trading at \$3.55 against an estimated post-Q2 net cash of \$4.44, a meaningful discount even after accounting for all liabilities. BOLD traded at \$1.40 against a similar level of net cash and delivered a dividend exceeding the stock price plus an ongoing equity stub.

NXTC / NextCure → Avere Therapeutics | Announced July 14, 2026

Transaction Detail	NXTC / Avere
NXTC Financial Advisor	Tungsten Advisors
Avere Financial Advisor	Wedbush Securities
Pipe Participants	Led by Fairmount and Hansoh Pharmaceutical with participation from Venrock Healthcare Capital Partners; General Atlantic; Janus Henderson Investors; Wellington Management; Boyu Capital; Sirona Capital; funds and accounts advised by T. Rowe Price Investment Management Inc.; RTW Investments; Sirenica Capital Management LP; Logos Capital; Redmile; Affinity Asset Advisors, LLC; Balyasny Asset Management; Wedbush Healthcare Partners
PIPE Size	\$320 million
NXTC Shareholder Retention	~1.21% of pro forma company
Additional Consideration	CVR: 90% of net proceeds from legacy pipeline over 2 years
NXTC Pre-Announcement Price	~\$1.97/share
NXTC Post-Announcement High	\$10.00/share (~5x)
NXTC Current Price	~\$5.73/share
Implied Avere pro forma EV at \$5.73	~\$2.2 billion

Unlike BOLD and VYNE, the NXTC transaction did not include a cash dividend, as NextCure carried minimal excess cash relative to liabilities and was trading close to net asset value prior to announcement. Existing NXTC shareholders received 1.21% of the combined entity plus a CVR entitling them to 90% of net proceeds from any future monetization of NextCure's legacy pipeline over two years.

The market reaction was dramatic: NXTC traded as high as \$10.00 per share on the announcement day against a pre-deal close of \$1.97, greater than a 5x move, with the implied Avere enterprise value briefly reaching approximately \$4 billion against NXTC's \$10.6 million pre-deal market cap. This illustrates a key dynamic in reverse mergers: when the incoming private company is well received even shells with minimal excess cash can generate extraordinary shareholder returns. The shell is simply the listing vehicle. Value creation comes from the private company's pipeline and the institutional validation embedded in a large-scale PIPE.

VYNE / VYNE Therapeutics → Yarrow Bioscience | Announced December 17, 2025

Transaction Detail	VYNE / Yarrow
VYNE Financial Advisor	LifeSci Capital
Yarrow Financial Advisor	Wedbush Securities
PIPE Lead Investor	RTW Investments
Other PIPE Participants	OrbiMed, Janus Henderson, venBio Partners, Logos Capital, LifeSci Venture Partners, Perceptive Advisors
PIPE Size	\$200 million

Transaction Detail**VYNE / Yarrow**

VYNE Shareholder Retention	~3% of pro forma company
Cash Dividend to VYNE Shareholders	\$16.5 million (top of range; declared July 10, 2026)

VYNE Balance Sheet (Q3 2025):

Line Item	Amount
Cash & cash equivalents	\$19.3M
Marketable securities	\$13.4M
Total cash	\$32.7M
Total liabilities (trade payables, accrued expenses, employee-related obligations)	\$4.0M

VYNE represents the cleanest balance sheet of all recent comparables — essentially just operating-cost liabilities with zero lease burden. VYNE to declare a special cash dividend at the top of the estimated range (\$16.5 million) on July 10, 2026, ahead of the anticipated Q3 2026 closing. VYNE shareholders retain approximately 3% of the combined entity.

Why We Expect a Shareholder-Friendly Outcome: Adult Supervision

- Tang Capital (10.4% and growing): Kevin Tang filed an initial 13G on June 10, 2026 disclosing 8.2% ownership and has continued buying openly on the open market. Tang is among the most sophisticated biotech fund managers operating in the shell/zombie-biotech space. His Concentra vehicle has completed outright acquisitions of JNCE, ALLK, KRON, ELEV, IGMS, ITOS, and THRX. In every shell situation where Tang has acquired a significant stake, deal terms have been shareholder-friendly. His continued open-market buying establishes a credible near-cash floor.
- EcoR1 Capital (9%): Filed an initial 13G on June 25, 2026. EcoR1 founder Oleg Noodelman is an active participant in the biotech consolidation wave; his 30%-controlled Zymeworks (ZYME) recently acquired TBPH. Oleg is sharp and aligned with public shareholders.
- Survetta Capital (9%) and RA Capital Management (9%): Both funds owned significant FULC positions prior to the pociredir failure and are prolific PIPE participants in reverse mergers. RA Capital led the BOLD/Serapha \$230 million PIPE, the largest in this cohort. Their dual-role position (as existing shareholders who want upside preservation and as prospective PIPE investors who can fund the deal) creates a powerful alignment of interests.
- Top 4 holders own >40% of shares: This level of institutional concentration significantly reduces the risk of management pursuing value-destructive alternatives. Any transaction that fails to treat existing shareholders fairly faces a meaningful blocking position.

Summary

FULC is trading below net cash with one of the cleanest balance sheets of any recent biotech shell with an estimated cash of \$295M (\$4.44/share) pro forma Q2 2026 including liability/RIF disbursement. It has engaged Leerink Partners in a formal strategic alternatives process. The biotech reverse merger renaissance of 2025–2026 has demonstrated success repeatedly across BOLD, NXTC and VYNE. FULC's balance sheet is cleaner than most, its advisor is proven, and its top four shareholders collectively own over 40% of the company with active incentives to ensure a fair outcome. We expect a shareholder-friendly transaction to be announced in the near term.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Likely reverse merger with a private biotech

Messages

Subject	RA Cap presence
Entry	07/22/2026 02:20 PM
Member	DashaMisha
Nice idea Mack. I maintain a database of busted -EV biotechs to see how they tend to perform when there is a clear reverse-merger type setup. Ones where RA has a sig presence usually do around the best. I chatted with someone who worked there a long time ago, and in that convo (historically at least) it sounded like the reason is that there is an institutional emphasis on treating shareholders well in these situations. To say nothing of Tang et al, this seems positive for the thesis.	
Subject	Re: RA Cap presence
Entry	07/22/2026 02:36 PM
Member	MrStingy
I would agree, they tend to hate zombie management teams bleeding salary from the company	
Subject	Re: RA Cap presence
Entry	07/22/2026 02:44 PM
Member	acm2025
What does your database show for how these perform generally? Like what is bull, base, bear or median, or whatever you feel comfortable sharing...	
Subject	Re: Re: RA Cap presence
Entry	07/26/2026 06:26 PM
Member	DashaMisha
For situations where insiders are considered "aligned with shareholders, like this one, I can't share super specific numbers, but I would guesstimate based on the shareholders here that there's a 75%+ chance of what I'd call a "positive" outcome. Which means either 1) a dividend to shareholders of the cash or 2) a reverse merger with a CVR and possibly a dividend as well. I quite like having some of these in my book and my mental hurdle rate for the basket is treasuries, and they tend to beat it.	
Subject	Re: Re: Re: RA Cap presence
Entry	07/26/2026 09:24 PM
Member	acm2025
Thank you	
Subject	Q2 Dropped
Entry	07/31/2026 11:55 AM
Member	acm2025
Came in slightly below the burn rate in the article. \$310m is the estimate after severance and lease. Obviously, will be burn this quarter and doesn't include investment banker fees, etc. But seems like a solid set up.	
Subject	Re: Re: Re: RA Cap presence
Entry	07/31/2026 03:28 PM
Member	UCB1868
Thoughts on PASG deal? Is that an example of a loser in this group?	
Subject	Re: Q2 Dropped
Entry	08/01/2026 07:35 PM
Member	DashaMisha
Was a nice buying op imo. The drop was exaggerated given that all that matters really here is burn and as you mention it wasn't bad. Talked to a few unaffiliated specialists in these things; they feel quite confident shareholders will be treated well. Now we wait. Big difference between this and something like PASG is the high insider ownership aligns incentives.	
Subject	Reverse Merger announced
Entry	08/17/2026 10:17 AM
Member	mack885

<https://www.bamsec.com/filing/119312526353278?cik=1680581>

Reverse merger with Slate Medicines announced with most of the cash dividend out (\$270M= \$3.54/share) and pro forma ownership of 5% of newco

Laundry list of biotech validator funds investing \$245M in a concurrent PIPE.

Had they dividend out 100% of the cash (like the BOLD RM) and provided more like 1-2% of pro-forma slate the dividend would have been \$3.80 (though we would own less of newco).

The PIPE is paying approximately \$0.41/share which equates to \$3.95/share pre dividend FULC (\$3.95-\$3.54 dividend)

At the current price of \$3.85, investors are paying a 24% discount to the PIPE and the pro-forma EV of Slate is approx \$210M EV (\$3.85-\$3.54=\$0.31 x 1.526B shares= \$475M mkt cap - \$245M PIPE - \$20.3M FULC cash contribution=\$210M)

I can't add much value on the clinical prospects of Slate at this time since its brand new to me, though I know and like the CEO (Greg Oakes) from his tenure at Landos Bio which he sold to Abbvie in 2024.

Subject	Re: Reverse Merger announced
Entry	08/17/2026 01:31 PM
Member	mack885

The pro forma enterprise value is actually quite a bit lower as Slate Medicine was launched with a \$130M Series A at the end of February. It's bordering on negative enterprise value depending on one's burn assumption.

<https://www.businesswire.com/news/home/20260224047796/en/Slate-Medicines-Launches-with-%24130-Million-Series-A-Financing-to-Advance-Anti-PACAP-Therapies-for-the-Prevention-of-Migraine-and-Other-Headache-Disorders>